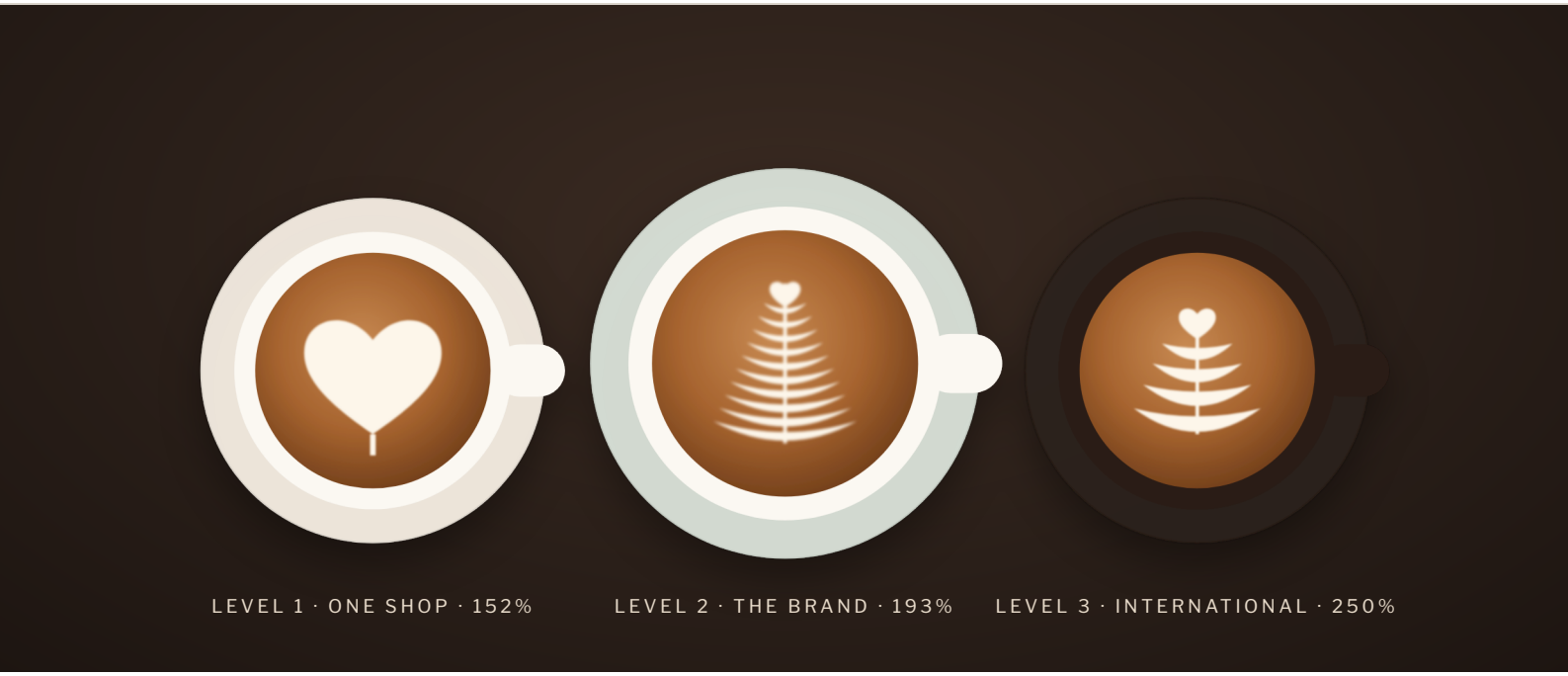


STRATEGY · SIMULATION FIELD REPORT

Grow Early, Differentiate Where It Pays

I ran a coffee business 15 times and treated every run as a controlled experiment. The results show what really drives profitable growth, and where good intentions quietly cost money.

Evidence from 15 runs of *Coffee Shop Inc.*, a Sim Institute / Harvard Business Impact simulation

Answers the nine assignment questions · Exhibits 1–15 · Appendix A–C

Idea in Brief

THE QUESTION

What creates profitable growth in a coffee business, and how can a manager know rather than guess?

THE APPROACH

Three levels of the Coffee Shop Inc. simulation, five runs each: one shop, then a brand, then an international chain. The game is deterministic, so every later run changed a single decision. The difference in profit is the exact value of that decision.

THE FINDINGS

Location sets the ceiling: the City Centre beat the Campus by $246,125. **Differentiation pays only where it is valued:** roasting added $583,995 in Mature Markets and lost $157,785 in Emerging ones. **In a growing market, speed is the moat:** faster openings added $952,776 after a two-year dip.

14/15
runs beat the five-year profit target

250%
of target in the best run ($12.50m, Level 3)

14
controlled tests, each worth an exact dollar figure

3
principles that explain nearly all of the difference

THE NINE QUESTIONS

1. Choose a position, then make every decision serve it
2. Read the news like a strategist
3. Satisfaction is a means, not an end
4. Let feedback run at two speeds
5. Make the numbers do the arguing
6. Location sets the ceiling
7. Integrate only where customers notice
8. Certified beans pay when the label is trusted
9. In a growing market, speed is the moat

Coffee is an unforgiving business to learn in. Margins on a $3.50 drink are thin, rents are fixed, competitors copy anything that works, and the economy moves underneath every decision. The Coffee Shop Inc. simulation compresses five years of that into an afternoon and reports back with news, competitor benchmarks, written feedback, key performance indicators (KPIs) and an income statement each year (Sim Institute, n.d.-b).

I played all three levels five times each. Level 1 is a single store in one of three locations. Level 2 adds staffing choices, in-house roasting and the choice of beans. Level 3 builds an international chain of owned and franchised stores across Mature and Emerging Markets. Fourteen of the 15 runs beat their five-year profit target. The best results were $757,947 in Level 1 (152% of a $500,000 target), $963,581 in Level 2 (193%) and $12,501,031 in Level 3 (250% of $5,000,000).

The headline numbers matter less than how they were produced. My strategy throughout was **differentiation:** a quality coffee experience at a moderate price premium, delivered by well-paid, well-trained staff. From Level 2 I added a "people, planet and profit" intent (Elkington, 1997). Because the game returns the same result for the same decisions, I treated runs 2 to 5 at each level as experiments, changing one decision at a time against an earlier run. That turned trial and error into evidence, and it is the thread that runs through the nine answers below.

HOW THE EXPERIMENTS WORKED

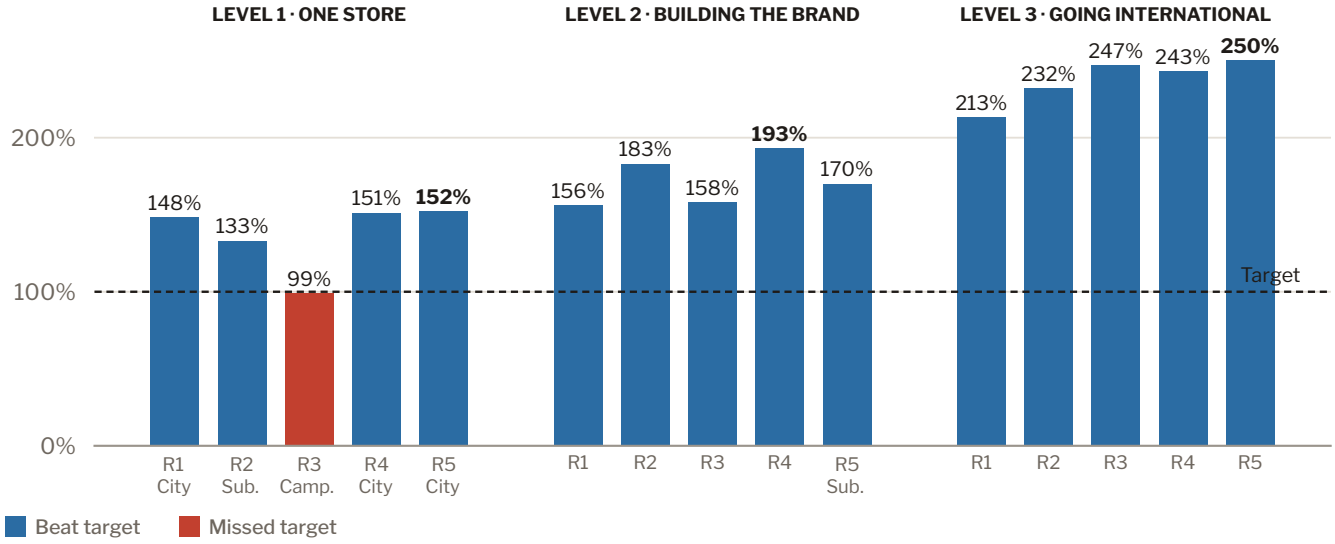
Run 1 at each level was a full attempt based on my reading of the market. Each later run copied an earlier run exactly and changed one decision. Because the simulation is deterministic, the difference in five-year profit between the two runs is the exact effect of that decision in this game, not an estimate.

The exception is the four location comparisons (E1–E3 and E10). Those runs also differ slightly in pay, training or promotion, so they are good rather than perfectly clean tests. Appendix A lists every run; Appendix B lists the 14 comparisons.

EXHIBIT 1

Every run, in the order played, as a share of its profit target

Each level ended at or near its best result, because each run kept what earlier tests showed to work. The only miss was a low-price strategy on a university campus.



Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens. Targets: $500,000 in Levels 1–2; $5,000,000 in Level 3.

EXHIBIT 2

The 15 runs and what each one tested

RUN	LEVEL 1 · ONE STORE	LEVEL 2 · BUILDING THE BRAND	LEVEL 3 · GOING INTERNATIONAL
1	City Centre, premium + evenings: **$740,214**	City baseline, buy roasted, ordinary beans: **$779,616**	Roast in Emerging; 2 Emerging own stores: **$10,637,554**
2	Suburb (location test): **$662,589**	Roast own beans: **$913,665**	Faster Emerging openings (11 stores): **$11,590,330**
3	University Campus, cost focus: **$494,089**	Roast + one extra job kept: **$790,871**	Roasting moved to Mature: **$12,332,111**
4	City, $1,000 pay lead in Years 4–5: **$754,573**	Roast + organic beans: **$963,581**	Roasting in both markets: **$12,174,325**
5	City, training and promotion tests: **$757,947**	Roast + organic in the Suburb: **$847,836**	Third Emerging store in Year 1: **$12,501,031**

Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens.

QUESTION 1 · STRATEGY INTO OPERATIONS

Choose a position, then make every decision serve it

THE SHORT ANSWER

I chose a differentiation strategy aimed at customers willing to pay a little more for good coffee, good service and a place to meet, and I made every operational decision support that position.

The choice rested on three inputs the game provides. The location descriptions showed that City Centre customers are "professionals and shoppers willing to spend", Suburb customers want atmosphere, good coffee and personal service, and Campus customers are budget-conscious students. The Year 1 news described a strong economy, confident consumers and evening meet-ups in the City Centre. The competitor benchmarks showed an average price of $3.00 and salaries of $24,000.

FRAMEWORK

Porter's generic strategies: compete on lower cost or on differentiation, across a broad market or a focused niche (Porter, 1985; Gamble et al., 2015, ch. 5).

Together these pointed to **broad differentiation in the City Centre**: competing on quality and experience rather than on price. A low-cost position would have meant fighting established chains on their own terms. I then tested that judgement directly by playing the Suburb (focused differentiation) and the Campus (focused cost leadership) under identical news. The City Centre earned the most and the Campus missed its target, which supported the original choice. From Level 2, I added an explicit triple-bottom-line intent (Elkington, 1997), which shaped the experiments on extra jobs, organic beans and roasting.

The game's second learning objective is that a strategy succeeds only when operational decisions are consistent with it. Exhibit 3 shows how each element of the strategy became a concrete setting, and the evidence that it worked.

EXHIBIT 3

From strategy to operational decisions

STRATEGIC ELEMENT	OPERATIONAL DECISION	EVIDENCE IT WORKED
Serve customers who value quality and a place to meet	City Centre location; open day and evening when evening demand existed	Evenings added about $139,000 over four years (Level 1, Run 1)
Moderate price premium	$3.50–$4.00, about 7–17% above the market; price parity in the Year 4 recession	Premium held volume in good years; parity in the recession lifted customers to 5 stars
Service through motivated staff	Salary $1,000–$2,000 above competitors; training $1,500 vs $1,000	Employees rated 5 stars in every year recorded
Visibility	Promotion $10,000 (competitors $8,000)	Spending above $10,000 added no sales (Question 4)
Product differentiation (Level 2)	Roast own beans; organic beans	+$134,049 and +$49,916 over five years
Planet (Levels 2–3)	Organic (Level 2); Fair Trade + organic in Mature Markets (Level 3)	Profitable as well as responsible (Question 8)
Growth (Level 3)	Maximum franchises and own stores; premium in Mature, market pricing in Emerging	$12.5m, 250% of target

Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens.

The positioning was not identical everywhere. In Level 3, Mature Market customers knew about organic and Fair Trade coffee and could pay a premium, so I sold Fair Trade + organic coffee at $3.50–$4.00. In Emerging Markets the news said bean type did not matter, so I sold ordinary beans at the market price ($2.00 rising to $3.00) and competed on availability and service. It was the same strategy adapted to each customer group.

QUESTION 2 · THE EXTERNAL AND COMPETITIVE ENVIRONMENT

Read the news like a strategist

THE SHORT ANSWER

The yearly news, read as a PESTLE analysis, changed my pricing, opening hours, wages, bean choice and promotion every year. The most important responses were matching rivals' prices in the recession and raising them in the recovery.

Each year the game publishes political, economic, social, technological, legal and environmental developments, together with a competition section (Sim Institute, n.d.-a). The news was identical in every run at a level, which made it possible to compare decisions fairly. Exhibit 4 traces Level 1 in the City Centre.

EXHIBIT 4

Environmental developments and my responses (Level 1, City Centre)

YEAR	MAIN DEVELOPMENTS (PESTLE AND COMPETITION)	MY RESPONSE	RESULT
1	Strong economy, confident consumers; evening meet-ups; cup cost $0.50; rivals at $3.00	Day and evening; price $3.50; salary $26,000 vs $24,000	Profit $138,115; staff 5★, customers 4★
2	Tariffs lift cup cost to $0.60; staff shortages, rival salary $25,000; regeneration works disrupt the centre at night	Price $3.75; salary $27,000; evenings closed	Profit fell to $80,084
3	Economy slowing; night festival and evening classes; suburb violence moves evening trade to the centre	Evenings reopened; premium cut to 7%	Profit $169,992; 116 evening drinks a night
4	Recession, rising unemployment; rivals discount	Price parity $3.50; promotion $15,000	Customers 5★; drinks +6.7% to 477 a day
5	Recovery; customers split into upmarket and budget; rivals raise prices	Price $4.00 (+6.7%)	Volume −5.5% but profit up to $193,806

Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens.

The same news can help one business and hurt another.

Five lessons from the environment

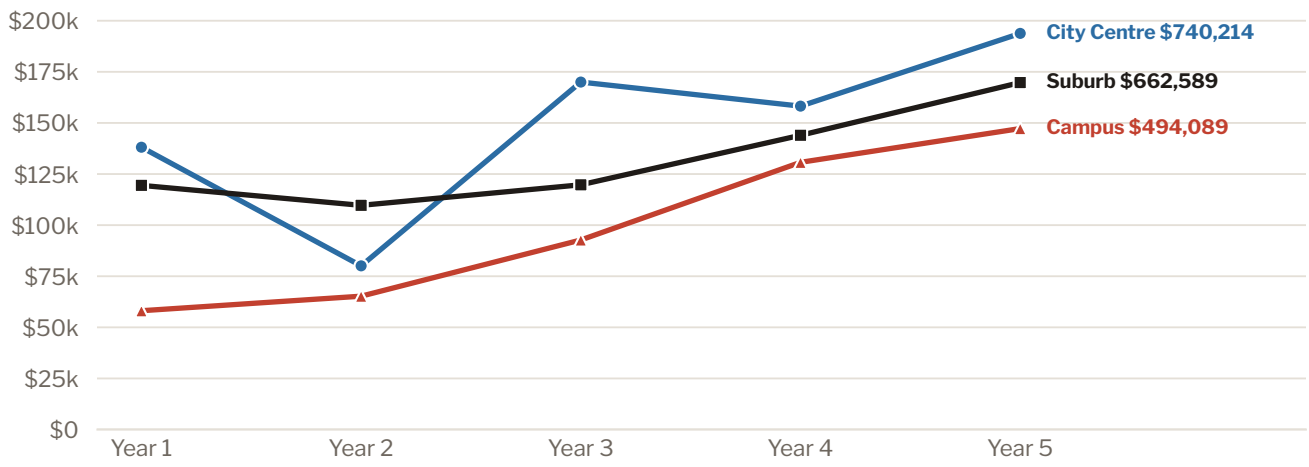
- **Economic cycle and price.** In the Year 4 recession, matching the market price raised volume: Level 1 drinks rose from 447 to 477 a day and Level 3 Mature drinks per store rose 6.5%. In the Year 5 recovery demand was price-inelastic: a 14.3% Mature price rise cost only 5.2% of volume. A price below rivals was never tested, so the evidence supports matching competitors, not undercutting them.
- **Political and legal.** Tariffs pushed the cost per drink from $0.50 to $0.60. Because the cost rose for every competitor, I passed it on through price rather than cutting quality.
- **Social.** Evening demand followed social news. With hindsight, closing evenings during the Year 2 construction was costly: in Level 2, where that news did not appear, evenings earned $15,325 more that year. That is an upper estimate of the loss.
- **Environmental and ethical awareness.** News of Fair Trade label credibility problems in Level 2 led me to choose organic. Credible labels in Level 3 Mature Markets led me to choose both, which sold 5.6% more than organic alone and earned $46,938 more in Year 1.
- **Competitive.** Rival salaries rose from $24,000 to $28,000, so I raised wages each year to keep a lead. When an international chain launched an organic Fair Trade brand in Level 2, my organic sales advantage held at about 3–4%; being first protected the position.

The overall lesson matches the game's fourth learning objective. The Year 2 disruption hurt the City Centre store, which fell $29,601 behind the Suburb that year; the Year 3 suburb violence helped City evenings, which pulled $50,255 ahead (Exhibit 5).

EXHIBIT 5

Operating profit by year in the three Level 1 locations

Same news, three different outcomes: the location decided how each development landed.



Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens. Identical news in every run; labels show five-year totals.

QUESTION 3 · EMPLOYEE AND CUSTOMER SATISFACTION

Satisfaction is a means, not an end

THE SHORT ANSWER

Pay a modest premium over competitors, keep training at the level that maintains service, price fairly against the market, and improve the product. Then judge every action by what it adds to sales.

FRAMEWORK

The service-profit chain: satisfied employees produce satisfied customers, who produce sales and profit (Heskett et al., 1994).

The game models the service-profit chain directly (Heskett et al., 1994; Sim Institute, n.d.-b). My runs showed where the chain can be strengthened, and where extra spending stops paying.

Employee satisfaction

- **Pay above the market, but only slightly.** A salary $2,000 above competitors kept employees at 5 stars every year. A $1,000 lead in Years 4–5 also kept 5 stars and added $14,359 to profit. During a recession, with unemployment rising, a smaller lead was enough.
- **Keep training at $1,500 per employee.** Cutting it to the competitor level of $1,000 did not move the star ratings, but drinks fell from 430 to 419 a day and profit fell by $6,888. Raising it to $2,500 in the Suburb added nothing measurable.
- **Recruit to grow, not to hold headcount.** Adding one job and keeping it for five years lifted customers to 5 stars and sales by 4.5%, but only in the year of hiring. From Year 2 demand was identical to the run without the job, so it cost $122,794.

Customer satisfaction

- **Price relative to competitors.** In Level 1, customers gave 5 stars only at price parity. A clean Suburb test, where only the premium changed from 7.7% to 0%, moved customers from 4 to 5 stars.
- **Product quality.** Roasting and organic beans allowed 5 stars at a premium: the Level 2 Suburb earned 5 stars at a 6.7–7.7% premium where Level 1 had earned 4. In Level 3, roasting lifted Mature customers from 4 to 5 stars at $3.50.
- **Opening hours where demand exists.** Evening opening served customers who wanted to meet after work and added profit in the City Centre and, from Year 4, in the Suburb.

A higher star rating is not always worth having.

The most profitable City strategy in Level 1 accepted 4-star customer ratings at a 7% premium in Years 3 and 5, because the extra margin outweighed the small loss of volume. The practical rule is to treat satisfaction ratings as **leading indicators** and to judge each action by its effect on sales and costs.

QUESTION 4 · RESULTS AND FEEDBACK

Let feedback run at two speeds

THE SHORT ANSWER

Within a run, each year's results and comments changed the next year's settings. Between runs, each result suggested a hypothesis that the next run tested by changing a single decision.

Within a run: year-to-year adjustment

- Level 1 Year 1 feedback warned that my prices were high. I narrowed the premium from 16.7% to 7.1% by Year 3, after which the warning disappeared.
- Year 2 feedback said I had missed the yearly target and told me to analyse the PESTLE news. I reopened evenings in Year 3, when the news showed night-time demand returning.
- Year 4 feedback ("coffee and service they want, at reasonable prices") confirmed that parity pricing was right in the recession.
- In Level 3 Run 1, Year 1 Emerging profit was only $34,238, so I stopped opening own stores there. Later results showed each store's contribution rising from about $18,000 to about $107,800 a year, which prompted the Run 2 test.
- The Level 3 Year 4 feedback ("only one year left… think carefully how many new shops") led me to stop Emerging own-store openings in Year 5, when they could no longer repay their cost.

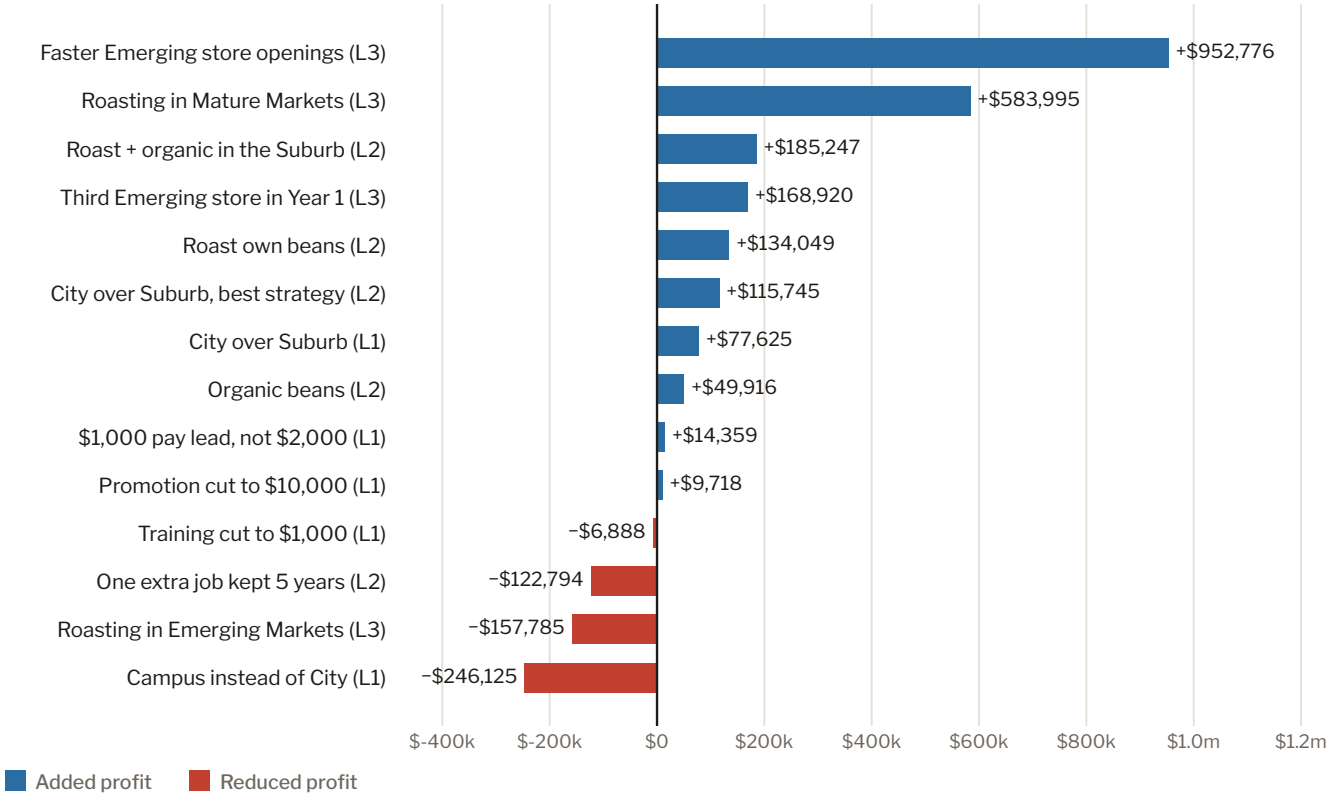
Between runs: experiments

Exhibit 6 ranks the 14 controlled comparisons by their effect on five-year profit. Several came straight from earlier feedback. Run 1 of Level 3 suggested Emerging stores were under-built, so Run 2 opened them faster. Run 2 showed roasting added little in Emerging Markets, so Run 3 moved it to Mature Markets. Run 3's unit economics suggested one more store in Year 1 would pay, which Run 5 confirmed.

EXHIBIT 6

What each single decision was worth

Change in five-year operating profit from each of the 14 controlled comparisons.



Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens. E4–E9 and E11–E14 change one decision only; location tests E1–E3 and E10 include small differences in other settings (Appendix B).

FRAMEWORK

Deliberate vs. emergent strategy: the intended position is planned; the details emerge from what the organisation learns (Mintzberg & Waters, 1985).

This is the difference between deliberate and emergent strategy (Mintzberg & Waters, 1985). The overall position stayed deliberate while the details emerged from evidence. It also guarded against hindsight bias: stopping Emerging stores after Year 1 was reasonable on the data then available. The lesson was to judge a growing market on **expected future profit per store**, not current profit.

QUESTION 5 · KPIS AND THE INCOME STATEMENT

Make the numbers do the arguing

THE SHORT ANSWER

The KPIs explain why results happened; the income statement shows what each decision costs and earns. Together they allow break-even calculations that the graphs and comments alone cannot provide.

The game describes its KPIs as the most important measures of how well the business is doing, combining non-financial indicators on the dashboard with financial ones in the income statement (Sim Institute, n.d.-a). Exhibit 7 shows how I used each.

EXHIBIT 7

KPIs and income-statement lines, and the decisions they informed

MEASURE	WHAT IT SHOWS	DECISION IT INFORMED
Employee and customer satisfaction (stars)	Leading indicators of future sales	Salary lead and price premium (Question 3)
Drinks per day, day vs evening	Where demand comes from, and when	Evenings need about 82 drinks a night to cover three extra staff: Suburb did 102 (+$21,200), Campus 63 (−$20,600)
Drinks per employee per day	Staff productivity	Suburb staff served 61–63 a day vs 48–59 in the City; no need to add staff
Cost of goods sold per drink	Variable cost ($0.50–$0.60)	Contribution per drink for price and roasting decisions
Fixed costs (rent, salaries, admin)	Costs that do not change with volume	Break-even volume; which sites can carry rent
Operating profit by market (Level 3)	Profit contribution of each market	Where to roast; how fast to open stores
Franchise fees and royalties	Royalty = 5% of own-store revenue per store	Showed franchises earn from Year 1 with no capital

Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens.

THREE BREAK-EVEN CALCULATIONS

A price rise

At $0.55 a drink, moving from $3.75 to $4.00 lifts the margin from $3.20 to $3.45. The rise pays if volume falls by less than **1 − 3.20 ÷ 3.45 = 7.2%**. In Level 1 Year 5 volume fell 5.5%, so the higher price earned more.

Why roasting paid

Roasting added **$194,237** from extra customers and **$39,812** from cheaper cups, against **$100,000** of depreciation. On cost savings alone it would have lost about $60,000. It paid because it attracted customers.

A new store

After rent, wages, training and roaster depreciation, each Emerging own store's contribution rose from about **$18,000** (Year 2) to about **$107,800** (Year 5), well above its $100,000 opening cost over its life. This was the case for opening faster.

One limitation matters. Operating profit records a roaster only as $20,000 a year of depreciation, not the $100,000 cash outlay. On a cash basis, moving roasting to Mature Markets gained about $501,781 rather than $741,781 in profit terms. A real business would also look at cash flow and return on investment.

QUESTION 6 · ADAPTING TO LOCATION

Location sets the ceiling

THE SHORT ANSWER

Each location needs a strategy that fits its customers. The City Centre suits premium, long-hours differentiation; the Suburb suits quality and personal service; the Campus requires market pricing and tight costs. In Level 3, Mature and Emerging Markets needed different products and prices.

EXHIBIT 8

How strategy and operations should differ by location (Level 1)

	CITY CENTRE	SUBURB	UNIVERSITY CAMPUS
Rent / competition	$50,000 / high	$30,000 / medium	$15,000 / low (vending machines)
Customers	Professionals and shoppers; evening meet-ups	Atmosphere, good coffee, personal service	Budget-conscious students
Best strategy	Broad differentiation	Focused differentiation	Focused cost leadership
Price	7% premium in good years; parity in recession	Premium possible with quality (roast + organic)	Market average every year
Opening hours	Day and evening (except Year 2)	Daytime; evenings from Year 4	Daytime only
Five-year profit	**$740,214**	**$662,589**	**$494,089** (target missed)

Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens.

With its best strategy, the City earned $263,858 (53%) more than the Campus over five years. The Campus had the lowest rent and 5-star customers every year, yet it was the only run to miss the target. Daytime demand was capped at about 300–330 drinks a day whatever I did, a Year 3 evening test lost about $20,600, and extra promotion added only two drinks a day. **Low cost cannot overcome a small, price-sensitive market.**

Why the locations differed: a Five Forces reading

FRAMEWORK

Porter's Five Forces: rivalry, substitutes, buyer power, supplier power and new entrants together set an industry's profit potential (Porter, 2008).

EXHIBIT 9

Porter's Five Forces in the three Level 1 locations

FORCE	CITY CENTRE	SUBURB	UNIVERSITY CAMPUS
Rivalry	High: chains and specialty cafés concentrated in the centre	Medium	Low at first (vending machines only); a new campus shop in Year 3
Substitutes	Low: none reported	Low: none reported	High: two $1 vending machines in Year 2, five more in Year 5
Buyer power	Low to moderate; more price-sensitive in the Year 4 recession	Moderate: pay for atmosphere and local roasting	High: budget-conscious students
Supplier power	Moderate everywhere: tariffs lifted cup cost $0.50 → $0.60; staff shortages pushed wages up	Moderate (same)	Moderate (same)
New entrants	Moderate: specialty shops began roasting in Year 2	Moderate	Moderate: a new campus shop in Year 3
Profit potential	**Highest:** large market with evening demand; buyers accept a premium	**Medium**	**Lowest:** substitutes and buyers cap the price

Ratings are my assessment from the game's News pages and location descriptions; the game gives qualitative information, not market data.

Read this way, the Campus result was predictable before I played it. Low rivalry and low rent looked attractive, but $1 vending machines and price-sensitive students set a ceiling on price. The City Centre had the fiercest rivalry yet the highest profit, because buyers there would pay for quality and evening trade enlarged the market. Two lessons follow: an industry's attractiveness depends on all five forces, not rivalry alone; and the forces point to the strategy. Differentiate where buyer power is low; control costs where substitutes and buyers cap prices.

Location sets the ceiling; strategy fit decides how close the business gets to it.

Location also changed the value of differentiation. With the same roast-and-organic strategy, the Suburb gained more in relative terms than the City: sales rose 12.9% against the Level 1 Suburb run, consistent with news that suburban customers pay more for locally roasted coffee. But the City still produced the higher absolute profit ($963,581 against $847,836).

The same logic applied between markets in Level 3. Mature Markets suited Fair Trade + organic coffee, roasting and a premium price. Emerging Markets suited ordinary beans, prices that rose with incomes ($2.00 to $3.00), heavier promotion once social-media use took off in Year 3 ($20,000 to $40,000), and wages for a lower-cost labour market ($16,000–$19,000 against $26,000–$27,000). From Year 2 the news also reported international chains "expanding aggressively" in Emerging Markets, which was a further argument for opening early (Question 9).

QUESTION 7 · COFFEE ROASTING AND VERTICAL INTEGRATION

Integrate only where customers notice

THE SHORT ANSWER

Roast your own beans only where enough customers value the result to cover the investment over the remaining years. Roasting paid as a source of differentiation, not as a cost saving, so the decisive factor was the customer segment.

FRAMEWORK

Vertical integration: taking over an activity a supplier used to perform (Gamble et al., 2015, ch. 6).

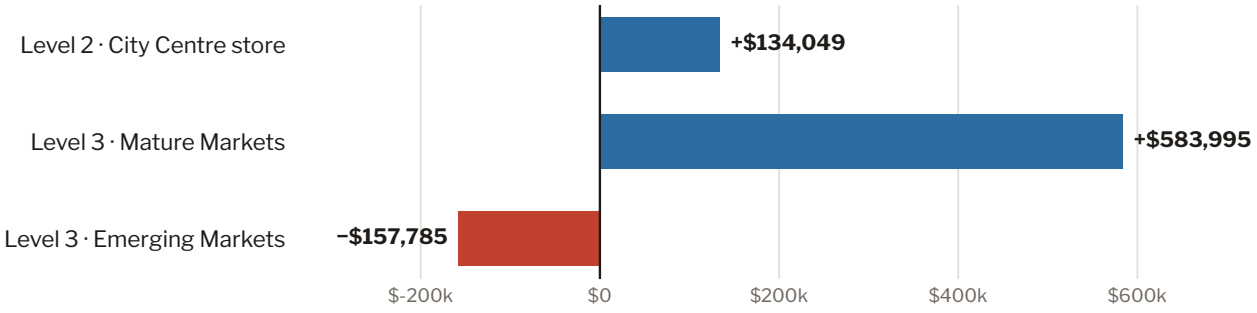
The game's glossary notes that in-house roasting "only makes sense if you have sufficient volume to justify the cost", and that it lets a shop roast beans the way its customers like (Sim Institute, n.d.-a). My runs tested both claims, and the second one turned out to matter far more.

- **Investment and time horizon.** Each roaster costs $100,000, depreciated at $20,000 a year. A roaster bought late has fewer years to repay, and the decision cannot be reversed.
- **Cost saving and volume.** Roasting saves $0.05 a cup. At one store that was only $39,812 over five years, less than half the depreciation.
- **Customer value.** The real gain was customers who preferred the coffee: 7–8% more drinks in the Level 2 City store, about 13% in the Suburb with organic beans, and about 6% (19–20 more drinks per store per day) in Level 3 Mature Markets.
- **Segment fit.** Mature customers valued quality and sustainability. In Emerging Markets the news said bean type did not matter, and roasting added only 2–4% to volume.
- **Control versus capital.** Integration gives control over taste and supply when tariffs push bean prices up, but it ties up capital and management attention.

EXHIBIT 10

The same investment, three different answers

Five-year profit effect of roasting own beans.



Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens. Level 2: Run 2 vs Run 1. Level 3: Run 3 vs Run 2, by market.

Roasting in both markets (Level 3 Run 4) produced $12,174,325, exactly Run 3's Mature result plus Run 2's Emerging result, which confirms that the effect depended on the market. Interestingly, the Emerging loss shrank every

year (from $46,316 in Year 3 to $7,176 in Year 5) as prices and volumes rose, so roasting there might pay in a longer game. This is value-chain logic: an upstream activity creates value only if buyers value what it produces (Porter, 1985).

Was roasting a sustainable advantage?

The value chain shows where roasting adds value; the VRIO test asks whether that value can last. A resource gives a sustained advantage only if it is valuable, rare, costly to imitate and supported by the organisation (Barney, 1995; Gamble et al., 2015, ch. 4).

EXHIBIT 11

A VRIO test of the main resources and capabilities

RESOURCE	VALUABLE?	RARE?	COSTLY TO IMITATE?	ORGANISED?	VERDICT
Roasting (City; Mature)	Yes: +$134,049 (L2); +$583,995 (L3 Mature)	At first; specialty shops began roasting in Year 2	No: any rival can buy a $100,000 roaster	Yes: own stores only	**Temporary advantage**
Roasting (Emerging)	No: −$157,785	–	–	–	**Disadvantage**
Organic and Fair Trade sourcing	Yes: +$49,916 (L2); +$46,938 (L3 Year 1)	Partly	No: a chain launched an organic Fair Trade brand	Yes: every store	**Temporary advantage**
Motivated, trained staff	Yes: drives satisfaction and sales	No: a pay lead is easy to match	No	Yes	**Parity**
Store network built early (L3)	Yes: franchises earned $6.45m before shared costs	Yes: openings capped each year	Yes: a late mover cannot catch up in five years	Yes	**Sustained (in the game)**

"Valuable" and "Organised" use measured results; "Rare" and "Costly to imitate" use the game's competition news.

Time itself was the barrier to imitation.

The test separates competitive advantage from sustainable competitive advantage. Roasting was valuable and briefly rare, but easy to copy; the specialty shops that began roasting in Year 2 were the warning sign. The most durable advantage was not a product feature but **the store network built early in Level 3**. Because openings were capped each year, a late mover could never catch up. In a real business, roasting would last as an advantage only if combined with harder-to-copy assets: know-how, brand reputation and well-placed stores.

QUESTION 8 · ORGANIC OR FAIR TRADE COFFEE

Certified beans pay when the label is trusted

THE SHORT ANSWER

Choose a certified bean where customers know about it, trust the label and will pay for it; check what competitors are doing; and weigh the extra cost per cup against the extra sales. In my runs organic beans served both the planet goal and profit.

- **Customer awareness and willingness to pay.** Early news described only a small group interested in certified coffee; awareness grew from Year 2. Mature Market customers were aware from the start of Level 3, Emerging customers were not.
- **Label credibility.** A label is worth only as much as customers trust it. Level 2 news reported Fair Trade credibility problems, so I chose organic. Level 3 reported credible Fair Trade labels in Mature Markets, so I chose both.
- **Cost.** Each option adds $0.05 a cup; over five years organic beans cost about $44,388 at one store.
- **Competitors.** An international chain launched an organic Fair Trade brand in Level 2 Year 4. Being established first protected my advantage.
- **Fit with strategy and values.** Certified beans support a differentiation strategy and the "planet" goal, and Fair Trade's purpose of a fair price for farmers (Sim Institute, n.d.-a; Gamble et al., 2015, ch. 9).

THE EVIDENCE IN NUMBERS

+3.6%
sales lift from organic beans in Level 2 (3.0–4.1% every year)

+$49,916
five-year profit from organic beans; extra contribution of about $94,300, twice the bean cost

+$46,938
Level 3 Year 1 gain from Fair Trade + organic over organic alone (+5.6% per Mature store)

Planet and profit pulled in the same direction. People and profit did not.

Customers gave 5 stars at a premium in Years 3 and 5 with organic beans, against 4 stars without them. In Emerging Markets I kept ordinary beans because customers did not value the difference. Not every triple-bottom-line goal was free: keeping an extra job for five years cost $122,794 because the game rewards hiring only in the year it happens. Being honest about such trade-offs is part of a credible sustainability strategy (Elkington, 1997).

QUESTION 9 · THE PACE OF NEW STORE OPENINGS

In a growing market, speed is the moat

THE SHORT ANSWER

Expand as fast as the game allows and as early as possible: ten franchises per market every year, and three own stores per market from Year 1 to Year 4. Stop opening own stores in a market once a new one can no longer repay its $100,000 cost. Expect a dip in profit before the gain.

The economics of each type of store

A **franchised store** pays a $25,000 fee and a 5% royalty on its revenue, costs $5,000 a year to manage and needs no capital. In the game it sells exactly what an own store sells, so it earns money from its first year. In Level 3 Run 5, franchises contributed $6,450,117 before shared costs, about half of total profit. Franchising is a low-risk way to enter foreign markets, at the cost of control over how the brand is delivered (Gamble et al., 2015, ch. 7; Hitt et al., 2007).

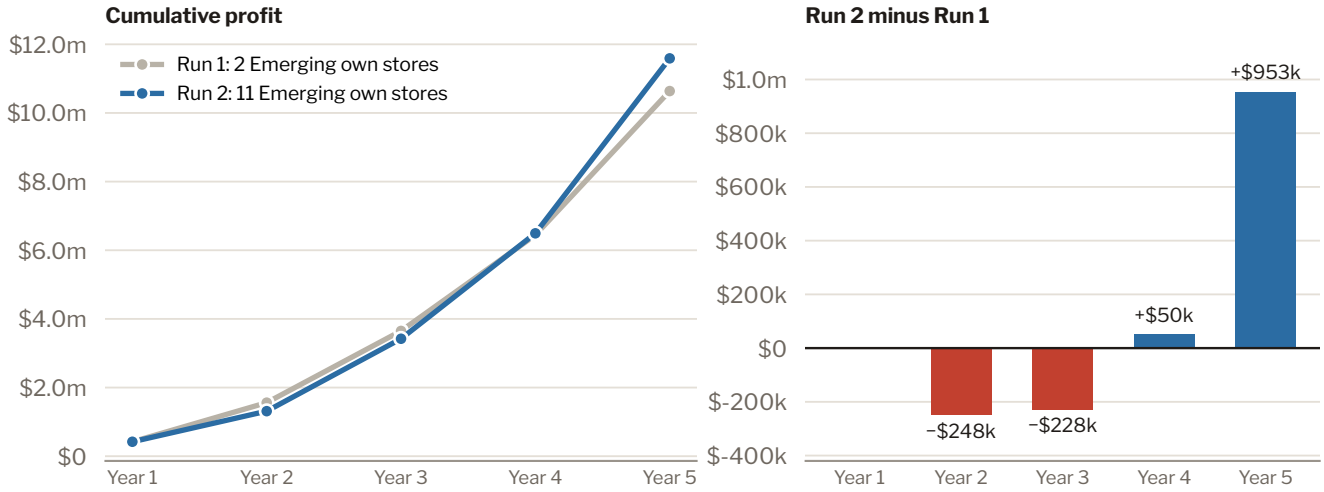
An **own store** costs $100,000 to open, keeps all its revenue and pays all its costs. In Mature Markets even a Year 5 opening added about $65,700 in its first year. In Emerging Markets the contribution per store started low (about $18,000 in Year 2) but rose to about $107,800 by Year 5 as incomes, prices and volumes grew.

Evidence from the runs

EXHIBIT 12

Opening Emerging stores faster: the J-curve

Run 2 trailed for two years, overtook in Year 4 and finished $952,776 ahead.



Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens. Level 3, Run 1 vs Run 2; only the number of Emerging own stores changed.

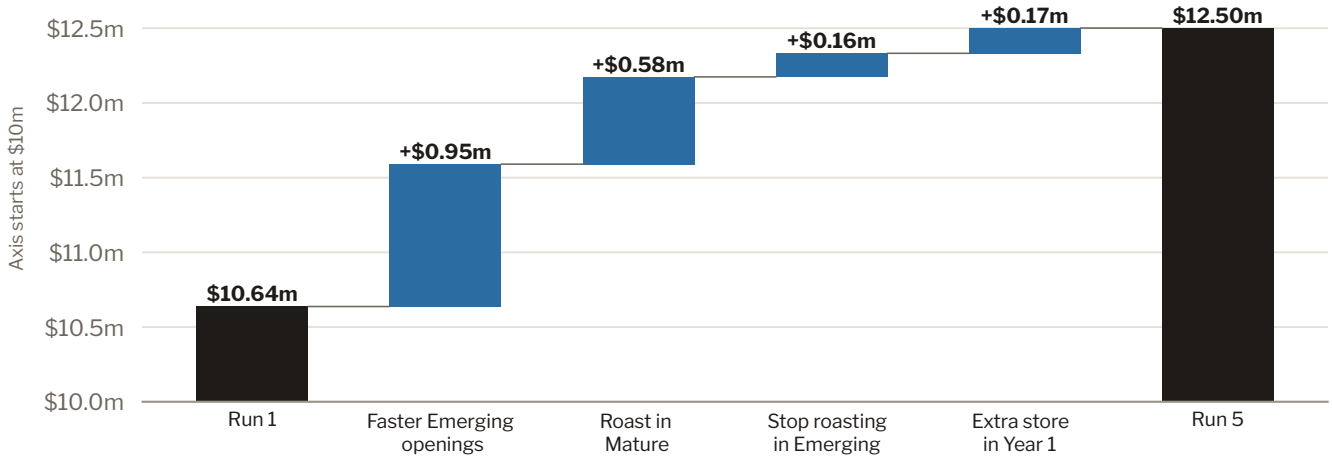
In Run 1 I opened only two Emerging own stores, because Year 1 profit there looked weak. Run 2 changed only that decision, opening three a year in Years 2–4 (11 stores). Run 2 was $248,285 behind after Year 2 and $228,027

behind after Year 3, then overtook. Run 5 added one more Emerging store in Year 1: profit fell $87,165 that year, was level by the end of Year 3 (a gap of only $158) and finished $168,920 ahead. Revenue per Emerging store in Year 5 changed by only −0.1%, so there was no measurable cannibalisation.

EXHIBIT 13

How Level 3 profit grew from Run 1 to Run 5

Run 5 finished $1,863,477 (17.5%) above Run 1.



Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens. Roasting in both markets (Run 4) was tested and reversed; the bridge shows each step's effect.

EXHIBIT 14

Recommended pace of openings by year and market

YEAR	MATURE MARKETS	EMERGING MARKETS	REASON
1	3 own + 10 franchised	3 own + 10 franchised	Longest time to repay the opening cost
2–4	3 own + 10 franchised	3 own + 10 franchised	Unit contribution rising; no cannibalisation
5	3 own + 10 franchised	**0 own** + 10 franchised	A Mature store still repays in-year; an Emerging one does not

Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens.

THE STRONGEST COUNTERARGUMENT

Risk. In a real chain, opening 26 stores a year needs capital, managers and quality control that the game does not model, and an Emerging Market crisis (as in the Year 3 news) could leave new stores unprofitable for longer. Two things would change the recommendation: evidence that sales per store fall as stores are added, or a cash or management limit on growth. In that case I would keep franchising at the maximum and slow own-store openings first, starting with the market where unit contribution is lowest.

CONCLUSION AND REFLECTION

What this means for managers

The question behind all 15 runs was what creates profitable growth in a coffee business. The evidence points to three principles. **Choose the market before the tactics:** location and market type set the ceiling on profit, and no amount of good management lifted the Campus store to its target. **Differentiate only where customers will pay for it:** roasting and organic beans earned money by attracting customers, so they paid in the City and in Mature Markets but not in Emerging Markets. **Grow early and fast when each new store will earn back its cost:** in Level 3 the fastest expansion the game allowed was also the most profitable, despite a two-year dip.

Against my "people, planet and profit" intent, planet and profit pulled together, because certified coffee raised sales by more than it cost. People and profit did not: keeping one extra job for five years cost $122,794. A sustainable strategy has to make that trade-off openly rather than assume all three goals always align.

EXHIBIT 15

The five learning objectives, and what the runs showed

LEARNING OBJECTIVE	WHAT MY RUNS SHOWED	KEY EVIDENCE
1. Success needs a clear strategy and sound decisions	Consistent differentiation beat the target in 14 of 15 runs; the best results came from tested, not guessed, changes	Best runs: 152%, 193%, 250% of target
2. Different strategies succeed if they fit the customers	Differentiation worked in the City and Suburb; a cost focus failed on the Campus	City $740,214; Suburb $662,589; Campus $494,089
3. Employee satisfaction drives customer satisfaction and sales	True, but returns fell quickly once staff were at 5 stars	Training cut −$6,888; extra job −$122,794
4. The environment changes the right decision	Matching rivals in the recession and charging more in the recovery both raised profit	Recession: drinks +6.5%; recovery: +14% price for −5% volume
5. Business concepts improve performance	Five Forces explained the Campus result; VRIO showed why roasting was temporary	Roasting +$583,995 Mature, −$157,785 Emerging

Source: own runs of Coffee Shop Inc. (Sim Institute / Harvard Business Impact), Oct–Nov 2026; figures from the game's result screens.

WHERE MY JUDGEMENT WAS WRONG

1. **Stopping too early in a growing market.** I judged Emerging stores on first-year profit ($34,238) instead of future earnings. Opening them anyway was worth $952,776.
2. **Testing in the wrong place.** A Year 3 evening test on the Campus lost about $20,600. Without it the run would have reached the target it missed by $5,911.
3. **Reacting to news without sizing it.** Closing City evenings during the Year 2 construction may have cost up to $15,325. I acted on a headline without estimating its effect.
4. **Over-trusting a hypothesis.** I expected a small premium to win 5-star customer ratings; only exact parity did. Writing hypotheses down, and checking them, stopped me repeating the mistake.

Six rules I would take into a real business

01

Choose the market before the tactics.
Location and market type set the ceiling on profit.

02

Differentiate where customers will pay.
A quality investment earns through extra customers, not lower costs.

03

Calculate the break-even before deciding.
A 7.2% volume threshold or 82 evening drinks would have prevented avoidable losses.

04

Change one thing at a time, and log it.
Pilot stores and test markets turn opinion into evidence.

05

Judge growth on future unit economics and cash.
A weak Year 1 can hide the best decision in the plan.

06

Build advantages that are hard to copy.
Rivals copied roasting and organic beans; they could not copy an early network.

A note on the evidence

The game is deterministic and simplified. Real customers, competitors, franchisees and managers are less predictable, and growth of 26 stores a year would need capital and people that the game does not model. Some Level 1 effects were confounded before I adopted one-change testing, and the Five Forces and VRIO ratings rely on the game's qualitative news rather than market data. The conclusions are therefore strongest as **principles for decision-making**, not as forecasts for a real coffee business.

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APPENDIX A

Results of all 15 runs

RUN	LOCATION / MARKET	WHAT WAS TESTED	FIVE-YEAR PROFIT	% OF TARGET
L1 R1	City Centre	Premium price, evenings open	$740,214	148%
L1 R2	Suburb	Focused differentiation	$662,589	133%
L1 R3	University Campus	Low price, lean costs	$494,089	99%
L1 R4	City Centre	Run 1 with a $1,000 pay lead in Years 4–5	$754,573	151%
L1 R5	City Centre	Run 4 with training and promotion tests	**$757,947**	**152%**
L2 R1	City Centre	Baseline: buy roasted, ordinary beans	$779,616	156%
L2 R2	City Centre	Roast own beans	$913,665	183%
L2 R3	City Centre	Roast + one extra job kept 5 years	$790,871	158%
L2 R4	City Centre	Roast + organic beans	**$963,581**	**193%**
L2 R5	Suburb	Roast + organic in the Suburb	$847,836	170%
L3 R1	Mature + Emerging	Roast in Emerging; 2 Emerging own stores	$10,637,554	213%
L3 R2	Mature + Emerging	Run 1 with faster Emerging openings	$11,590,330	232%
L3 R3	Mature + Emerging	Run 2 with roasting moved to Mature	$12,332,111	247%
L3 R4	Mature + Emerging	Run 2 with roasting in both markets	$12,174,325	243%
L3 R5	Mature + Emerging	Run 3 with a third Emerging store in Year 1	**$12,501,031**	**250%**

Targets: $500,000 in Levels 1 and 2; $5,000,000 in Level 3. Best run in each level in bold.

APPENDIX B

The 14 controlled comparisons

ID	DECISION CHANGED	RUNS COMPARED	PROFIT EFFECT	CONCLUSION
E1	City vs Suburb	L1 R1 − L1 R2	+$77,625	City earns more from evening trade and a larger market
E2	Campus vs City	L1 R3 − L1 R1	−$246,125	Low rent cannot offset a small, price-sensitive market
E3	City vs Suburb, best strategy	L2 R4 − L2 R5	+$115,745	Location sets the ceiling
E4	Pay lead $1,000 instead of $2,000	L1 R4 − L1 R1 (Y4–5)	+$14,359	A $1,000 lead keeps staff at 5 stars
E5	Training $1,000 instead of $1,500	L1 R5 − L1 R4 (Y1)	−$6,888	Sales fall by more than the saving
E6	Promotion $10,000 instead of $15,000	L1 R5 − L1 R4 (Y4–5)	+$9,718	Sales unchanged; the extra spend was wasted
E7	Roast own beans	L2 R2 − L2 R1	+$134,049	Pays through more customers, not lower cost
E8	Organic beans	L2 R4 − L2 R2	+$49,916	Returns about twice its cost
E9	One extra job kept 5 years	L2 R3 − L2 R2	−$122,794	Demand rises only in the hiring year
E10	Roast + organic in the Suburb	L2 R5 − L1 R2	+$185,247	Larger lift in the Suburb (incl. HR settings)
E11	Roasting in Mature Markets	L3 R3 − L3 R2 (Mat.)	+$583,995	About 20 more drinks per store per day
E12	Roasting in Emerging Markets	L3 R2 − L3 R3 (Em.)	−$157,785	Small lift does not cover depreciation
E13	Faster Emerging store openings	L3 R2 − L3 R1	+$952,776	Profit dips for two years, then overtakes
E14	One more Emerging store in Year 1	L3 R5 − L3 R3	+$168,920	Level by Year 3, ahead afterwards

APPENDIX C

The strategy on one page

COFFEE SHOP INC. SIMULATION, LEVELS 1–3

What 15 runs taught us about growing a coffee chain

14/15 runs beat their five-year profit target

250% of target in the best run, Level 3 Run 5

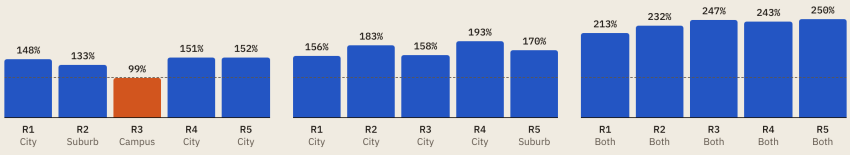
+$1.86m added across five Level 3 runs

Brief: grow a coffee business profitably while looking after people, planet and profit, from one store to two international markets.

01 LEARNING CURVE

14 of 15 runs beat the target; the only miss was the low-price Campus strategy

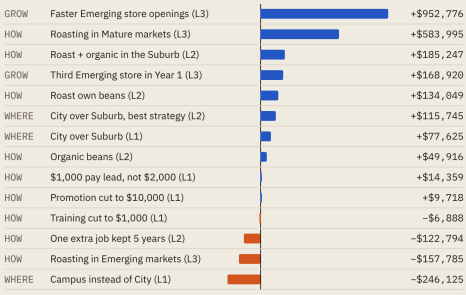
Bars: five-year profit as a percentage of each level's target, in the order the runs were played. Dashed line: 100% of target.



Level 1 · one store · target $500,000 | **Level 2 · building the brand · target $500,000** | **Level 3 · two markets · target $5,000,000**

02 WHAT MOVED PROFIT · 14 CONTROLLED TESTS

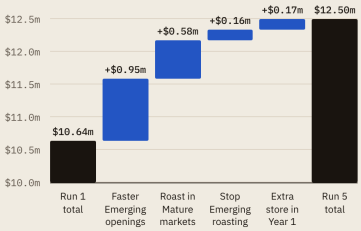
Expansion speed, roasting and location moved profit most; pay, training and promotion barely did



Change in five-year profit when one decision changed. Blue: gain. Orange: loss.

03 LEVEL 3 PROFIT BRIDGE

Four kept changes took Level 3 from $10.6m to $12.5m



Dark bars: run totals. Blue: what each change added. The axis starts at $10m so the steps are visible. Roasting in both markets (Run 4) was tested and reversed.

04 PLAYBOOK

Six rules for next time

1 Choose the market with the most demand, not the cheapest rent

Location set the ceiling for everything else. Low rent could not rescue a small, price-sensitive market.

City beat Campus by $246,125 (L1) and the Suburb by $115,745 with the same strategy (L2).

2 Differentiate only where customers pay for it

Roasting and organic beans earned money through more customers, not lower costs, so they paid only where customers valued quality.

Roasting: +$583,995 in Mature markets, −$157,785 in Emerging. Organic beans: +$49,916.

3 Price with the economy

Match rival prices when times are hard; charge above them when demand recovers.

Matching price cuts in the recession lifted drinks sold by 6.5%. Rises of 14–20% in the recovery cost only 4.7–5.9%.

4 Pay a small lead and keep training

A modest pay lead kept staff at five stars. Cutting training, or spending past the promotion threshold, did not pay.

$1,000 pay lead: +$14,359 vs $2,000. Training cut: −$6,888. Promotion trimmed to $10,000: +$9,718.

5 Expand early and accept the dip

Franchise at the maximum from Year 1 and open own stores early. New stores cost profit for two years, then repay.

Faster Emerging openings: +$952,776. One more store in Year 1: +$168,920.

6 Count the people goal honestly

Hiring lifted demand only in the year it happened. Organic beans served planet and profit together.

Keeping one extra job for five years cost $122,794 (L2).

Method: the game returns the same result for the same decisions, so each test compares two runs that differ in one decision. Source: Coffee Shop Inc. result screens.

Explore the evidence interactively

The companion website replays Level 3 step by step and scores every decision on people, planet and profit.

shab-analytics.github.io/coffee-strategy-dashboard